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The theory and practice of business networking

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ABSTRACT

The aim of this paper is to contribute to the development of the concept of business networking. Recent literature associated with the IMP Group's research refers to business networking as the conscious attempts of an actor to change the structure or process of interactions within particular relationships or the wider network in which it operates. The paper draws on early research in marketing and distribution that contributed strongly to the IMP research theme and contrasts this research with the more recent managerial tradition in marketing research. The paper builds on this early research and that of the IMP Group to present a structure for the analysis of business networking. The paper illustrates this analysis with a case study and draws conclusions on the concept of business networking and on its practice.

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1. Introduction

When practitioners and researchers discuss management in business companies they often describe two quite separate processes that they call 'marketing' and 'purchasing'. Involvement in one or other of these processes is then used to define two separate types of company that are referred to as 'suppliers' or 'customers' respectively. Both of these processes and types of company are said to occur within a structure that is referred to as a 'market' and which is usually designated by a particular category of products or by the group of companies that buy or sell them.

This paper aims to contribute to the development of an alternative interpretation of the process and structure of management in business companies that has been associated with the Industrial Marketing and Purchasing Group (IMP) of researchers and which appears to cut across these conventional ideas of the process and structure of business, as follows:

The Process of Business: IMP literature suggests that the processes of marketing and purchasing may not be so different from each other after all and that they do not readily lend themselves to separate analysis, either conceptually or empirically. Instead, IMP research has attempted to analyse what it envisions as a single, but rather complex process that takes place *between* all business actors and which IMP literature refers to as *interaction* (Håkansson, 1982; Ford & Håkansson, 2006a, 2006b; Ford, Gadde, Håkansson, Snehota, & Waluszewski, 2008; Ford & Mouzas, 2010; Håkansson, Ford, Gadde, Snehota, & Waluszewski, 2009; Ford & Mouzas, 2013).

The Structure of Business: IMP research suggests that the empirical structure in which this process takes place doesn't have much in common with the homogeneity and anonymity that is associated with the idea of the market in both neo-classical economics and in the marketing literature. Instead, IMP research suggests that the business landscape has a heterogeneous *network-like structure* that is comprised of the interconnected relationships that develop between actors that are individually significant to each other (Johanson & Mattsson, 1985, 1992; McLoughlin & Horan, 2002).

1.1. Business networking

Recent IMP literature uses the term *business networking* to refer to the conscious attempts of an actor to change or develop the process of interaction or the structure of relationships in which it is directly or indirectly involved and has suggested that networking is at the core of management in the business landscape (Ford, Gadde, Håkansson, & Snehota, 2003; Ford & Mouzas, 2010; Håkansson et al., 2009; Henneberg, Naudé, & Mouzas, 2010). But the concept of business networking is not yet well developed: Attempts have been made to list the different elements that may comprise business networking and to illustrate these with case studies. But as yet, there is no coherent theoretical structure that could form a basis for the empirical investigation of business networking or that could express the concept in a form of value to practitioners or explain how it relates to the conventionally defined tasks of marketing and purchasing.

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This paper is a tentative attempt to develop and illustrate a theoretical structure for the concept of business networking. We start by contrasting the orientation of recent marketing and purchasing literature with earlier research on marketing and channels. We highlight the contributions of this earlier research to an understanding of the structure and process of business, to IMP research in general, and to the analysis of business networking in particular. The paper then presents a conceptual analysis of the relationship and network context of business networking and examines the characteristics of substantive interaction of which it forms part. We then use this conceptual analysis to describe the process of business networking by using an empirical case. Finally, we present a number of generalisations about the process of business networking and draw conclusions for the practice of business networking.

2. The idea of management in current marketing and purchasing research

The 'managerial theme' has dominated both consumer and business marketing literature since the second world-war. This theme is concerned with the process through which supplier companies attempt to generate profit by identifying and satisfying the generalised requirements of a group of customers. In support of this analysis, marketing scholars have also attempted to model the separate process through which customer companies arrive at and implement a purchase decision which is said to be dependent amongst other things on the specific purchasing experience of the company and of the particular individuals involved in the process (Howard & Sheth, 1969; Webster, 1965; Webster & Wind, 1972). Ideas within this managerial theme about business-to-business marketing drew heavily on theory developed about consumer marketing within the managerial marketing theme of research. These ideas on business marketing built on the concept of the marketing mix which was articulated by writers such as Borden, McCarthy, Howard, Levitt, Borden and Shapiro (see Dolan, 1991) and modified according to the apparent particularities of the situation within the business market, the products involved and cost structure of business marketing companies.

The managerial theme in marketing infers that suppliers are almost exclusively concerned with *competition* between themselves and a group of companies each of which manipulates a similar mix and which competes in a similar way. This competitive orientation is shared with much of the strategy literature for which corporate strategy is almost synonymous with competitive strategy (Barney, 2002; Håkansson et al., 2009; Porter, 1980).

In contrast, traditional texts on purchasing seemed to ignore the idea that purchasing organisations had competitors in their supply markets (Farmer (1985). Instead, purchasing management was largely concerned with how to implement efficient procedures to choose the best supplier to deliver a standardised component or material at the right time, place and price and to assess the performance of individual buyers within the customer against these criteria (Ammer, 1962; Lee & Dobler, 1990; Zenz, 1975). These efficiency-oriented approaches assumed that the key resources and activities on which a company depends are internal to it. Hence, the primary concerns of purchasing were to reduce cost and avoid the dangers of being exploited by suppliers on which they became over-dependent. Theory development in business purchasing used a similar categorisation of purchase situations and product categories to those previously developed within marketing models (Baily, 1983; Banting, Ford, Gross, & Holmes, 1985; Financial Times, 1984). Only slowly did attention shift away from an orientation towards the process through which a single purchase of a particular product is made and towards ways of relating appropriately to particular suppliers over time according to criteria such as supplier essentiality and product development capability. This shift gathered strength as companies tried to learn from Japanese practice and as bought-in items and the contracting out of activities to others has grown. (Bensaou, 1999; Ellram, 1995; Farmer, 1981; Helper & Sako, 1995; Kraljic, 1982; Spekman, 1988).

2.1. Unilateral action

The recent academic literature in both the marketing and purchasing areas views management in customers and suppliers as two separate processes, each of which consists of *unilateral action* by one or other of the two types of company. Each of these processes is directed towards respective counterparts that are assumed to be passive or at best, reactive. In other words, each area of literature implicitly assumes that a different one of the two types of companies *manages* what happens between customers and suppliers (eg Achrol & Kotler, 1999; Ferrin & Plank, 2002; Leenders, Johnson, Flynn, & Fearon, 2006).[1] This implicit assumption in the academic literature is reflected in the managerial techniques adopted by practitioners, such as Customer Relationship Management (CRM) and Supplier Management (Christopher, 2005; Payne, Ballantyne, & Christopher, 2005; Rigby, Reichheld, & Schefter, 2002). These techniques rely on the unilateral development of information systems, for example, customer data bases, segmentation and targeting systems for key customers or suppliers. Most of the existing approaches are often carried out on the basis of a limited number of descriptors to identify and report on attractive customers or suppliers and provide a severely limited interpretation of the context in which a company is embedded. Therefore, they often result in a formidable force on business actors to take a myopic view of the multilateral complexities of the business process.

3. The idea of management in early marketing and channel research[2]

The single-sided and unilateral view of management in the recent business marketing and purchasing literature contrasts sharply with the orientation of earlier literature on marketing and channels. Early marketing literature was associated with a holistic, functional perspective and conceived of 'marketing' as the single process that encompasses "the services that must be performed in getting commodities from producer to consumer" (Weld, 1917: p. 317). This process was said to include both selling (demand creation) *as well as buying* (assembly of goods) and hence involved multiple companies in assembling, storing, bearing risk, financing, rearranging, selling and transporting products (Cherington, 1920; Clark, 1923; Shaw, 1912). Current marketing channel literature takes a strong manufacturer orientation and is concerned with the management by a single 'channel captain' that seeks to design and manage the efficient distribution of *its* products through chosen intermediaries and to end users (Gripsrud, 2004: p. 195). In contrast, early research emphasised the similarity of management in all business actors. This view suggested that all business actors need to be viewed as intermediaries, each of which is involved in a unique combination of acquisition, accumulation, transformation and transfer in conjunction with particular counterparts in the network (Håkansson et al., 2009).

Wroe Alderson, perhaps the most influential of earlier researchers, argued that ownership is not a prerequisite for the coordination of this process. Instead, he suggested that coordination takes place across the boundaries of firms because channel productivity rests on "making the flow of goods semiautomatic, even though the successive units are autonomous". A prerequisite for such a semiautomatic process is continuing cooperation between autonomous actors. According to

[1] An exception to this unilateral view of marketing and purchasing is the recent developments in the area of Value Co-Creation (Ballantyne & Varey, 2006; Gronroos, 2008).

[2] This section draws from Gadde and Ford (2008).

McAmmon and Little (1965, p. 329), all marketing actors… "strive to achieve mutually acceptable objectives. The goals of individual participants are often incompatible but through a process of bargaining and accommodation, divergent aspirations are reconciled and the need for cooperation is recognised". Thus channels,… "are sufficiently integrated to permit the system to operate as a whole, but the bond is loose enough to allow for the replacement or addition of components… In cohesive channels the firms think of themselves as being highly interdependent. In other cases the relationships between firms are loosely structured and fluid" (Alderson, 1957). Alderson argued that "cooperation is as prevalent in economic activity as competition" (Alderson, 1965: p. 239), but that, "The cooperative aspect of economic behaviour has been relatively neglected. Economists speak of competitive theory, of pure and perfect competition. There is no corresponding development of cooperative theory, no concepts of pure and perfect cooperation".

Of course, an emphasis on the importance of cooperation between business actors does not preclude conflict or competition between them. Earlier researchers were conscious of the complexities of competition in the business landscape. For example, they recognised the importance of implicit or explicit codes of acceptable competition that strongly affected business interaction (McAmmon & Little, 1965) and they differentiated between 'insiders' and 'outsiders' in terms of their relative adherence to such codes (Kriesberg, 1955). This research examined how insiders benefitted from information-sharing and from the roles carried out by others. But the research also showed how channel members knowledge of the wider network outside their immediate 'small world' (Håkansson et al., 2009) was severely constrained leading to dependence on the knowledge of other channel members. Despite their dependence on others, researchers found that actors were likely to indulge in self-seeking behaviour to achieve and exercise control over their relationships with others (Alderson, 1965; Grether, 1937; McVey, 1964; Revzan, 1961). Hence, they concluded that competition between channel members is likely to occur simultaneously with cooperation and take several forms: *horizontal competition* between similar types of actors, *intertype competition* between different types of actors or systems or *vertical competition* between customers and suppliers.

Earlier research concluded that the different forms of simultaneous competition and cooperation are important contributors to the heterogeneity of the business landscape:

> "The economist finds it useful for some purposes to use a model of a homogeneous market. This writer, for quite different purposes presents a model of a perfectly heterogeneous market" (Alderson, 1965: p. 29).

Alderson's view was based on the observation that in a perfectly heterogeneous market, unique demands can only be satisfied through unique supply. Management in a supplier is directed towards delivering to an end customer "a relatively refined and specialised article shaped to a type of need fitted"… or adapted… "to the specific requirements of the individual customer who buys it". Such unique supply can only be achieved through cooperation between multiple actors. It is only a small extension of this argument to suggest that adapted offerings by suppliers are likely to be associated with adaptations by customers to accommodate the requirements of suppliers with corresponding heterogeneity in the relationships that develop between customers and suppliers.

Alderson also observed that industry dynamics result from the efforts of a particular firm in "improving its position within a system". But adjustment to new conditions is not instantaneous and the current structure is always "a compromise between past structure and present requirements" and "the network in distribution can never come into a final stage of equilibrium" (Alderson, 1965).

IMP ideas have drawn heavily from this perspective on structure and process in a heterogeneous business landscape, particularly from its systemic view that all companies operate within an evolving network and are dependent on the resources and activities of others. IMP research has particularly shared the interest of earlier marketing scholars in the way that the activities and resources of multiple actors are *coordinated* in the business network (e.g., Alderson, 1965; McAmmon & Little, 1965). This research has been particularly concerned with the idea of coordination as a process of interaction and with the managerial opportunities and restrictions that arise from interaction (Håkansson et al., 2009).

4. Management in an interacted business landscape

The heterogeneity of the empirical business landscape does not allow for convenient generalisations about the attitudes or behaviour of groups of customers or suppliers such as those that can be made under the assumption of a homogeneous market in which fixed products are mechanistically exchanged for cash (Blois, 1972; Håkansson et al., 2009; Macauley, 1963; Sweeney, 1972). Instead, the heterogeneity assumption infers that business is a single interactive process that simultaneously may take a wide variety of forms within and between different combinations of actors and which contributes to an evolving network-like structure of interdependencies. Interaction is not simply the cooperative or 'nice' aspect of business that may exist within a world dominated by harsh competition. Nor is it a management technique that may be employed as a contribution towards the development of mutuality or idealised 'partnership' (van Weele, 2002). Interaction is a self-serving process in which each actor seeks to address its own short and long term problems. Interaction is likely to include teaching, learning, coercion and concession by all participants at particular times and for particular issues and it involves all actors in trade-offs between their own and their counterparts' long and short-term costs and benefits.

This interactive view has profound implications for our view of business management:

> Firstly, because interaction is a process that takes place *between* actors, it means that no business actor has the resources or freedom to develop or implement strategy independently and none can unilaterally control the direction of its dealings with others.
>
> Secondly, the interactive process of business is not restricted simply to communication or negotiation: Business interaction is *substantial*. It involves the activities and resources of participating actors and the form, usefulness and value of these elements are determined by interaction. Thus, at the simplest level, substantive interaction may lead to changes to products, procedures and payments in order to satisfy the particular requirements of one or more counterparts. But also in order to meet the long as well as the short term requirements of particular actors, their interaction may lead to the adaptation or transformation of some or all of the activities and resources of those actors, the actors themselves and others around them. These transformations are likely to lead to the development of complex interdependencies between business actors which drive further interactions.
>
> Thirdly, the network of interdependencies in which it is enmeshed means that external activities, resources and actors are likely to have more influence on the direction of a company than its own internal activities, resources or intentions. In this way, IMP research leads to the interpretation of the business actor as a node within a network of interdependencies, a few of which form the basis for its operations: Business interaction is a small-numbers game.
>
> Fourthly, business interaction is a continuing process and calls for a long-term approach to management. Interaction stretches beyond individual transactions and consists of multiple actions, reactions and re-reactions by counterpart companies as each adapts to its

own and its counterparts' requirements and to the evolution of the wider network. Business interaction involves all actors in trade-offs between their own and their counterparts' short and long-term costs and benefits.

The process of business interaction over time is frequently referred to in IMP literature as a *relationship*.

5. The logic of business relationships

Business relationships consist of more than a succession of isolated transactions. What happens in any single *episode* of interaction, whether it involves negotiation, development, delivery, investment, payment or dispute etc. will be based on the participants' interpretations of their previous interactions and on their aspirations for those in the future.

At the most basic level, the logic of business relationships is that they provide the *essential* means for participant actors to combine adapt and develop their resources and activities directly with those of others, to indirectly access remote activities and resources from elsewhere in the network and to address their respective and common issues and problems.

Relationships define the business actor: The idea of the market makes a clear separation between the company, the resources it controls and the environment that surrounds it and which is beyond its control. In contrast, the logic of business relationships is that no such clear separation between actor and environment can be made: many of the adaptations and investments that business actors make in their activities and resources are relationship-specific. Similarly, many of the activities and resources on which the companies in a relationship depend are under the control or ownership of counterparts. Thus, the characteristics of each business actor and its position in the landscape are defined by the specific relationships that the actor has with others.

Relationships are the prime assets of a business actor: The relationships in which a business actor is involved constitute its own and its counterparts' prime assets, to which the use and value of all its other assets, physical, financial or technological relate. This view of relationships leads to the idea that the major task of management is to maximise the return on the investment in those relationship assets over time.

Relationships activate resources and activities: An interactive view of business emphasises that all actors depend on the resources and activities of others which they do not control. These resources and activities are activated and modified in relationships. The usefulness and value of each actor's resources and activities is determined by the ways in which they are or can be combined and developed through networking in relationships with others.

Relationships challenge conventional accounting: The centrality of business relationships mean that the boundaries of an actor are neither impermeable, nor do they correspond to the actor as a physical entity. The relationship-specificity of many physical and managerial investments means that it is often unrealistic to assign 'market' values to some of an actor's physical assets. Similarly, the process of business interaction over time complicates the attribution and control of costs and revenues between relationship counterparts. For example, capital investment decisions and cash-flow management in the business landscape are network rather than company phenomena. Both involve and affect multiple actors and relationships (Ford & Håkansson, 2010; Håkansson et al., 2009).

Relationships determine the management process: No business actor is able to entirely manage either the process or the results of the relationships in which it participates. Instead, each relationship evolves through the successive outcomes of the interactions between directly and indirectly involved actors and their respective investments and adaptations. Management in the interacted business landscape is a multilateral rather than a unilateral process. This view of relationships and the business landscape contrasts with those who view relationships and networks as a focus for unilateral action, management and control (Achrol & Kotler, 1999; Payne et al., 2005; Ulaga & Eggert, 2006).

A business relationship has a life of its own: it cannot be owned, controlled or managed by any single participant, although all will try to manage in it. But the life of a business relationship is not determined by what happens within it alone and each relationship is part of the universal relatedness that extends across the business network. This relatedness is expressed in the interdependencies between pairs and webs of actors, their activities and resources. An important distinction between this view and conventional ideas of marketing and purchasing is that actors will not automatically seek to avoid dependence on others. Instead they are likely to implicitly or explicitly seek to develop their interdependencies within relationships to increase the economic efficiencies of the investments in activities and resources made by themselves and their counterparts (Ford & Håkansson, 2010).

The logic of business relationships does not mean that business actors are passive players or that companies simply drift in an ocean of shifting interdependencies. Business actors do make choices and do act within and without their relationships. But the logic of business relationships is that because they are so important in defining the structure of business then the task of managing in the business landscape inevitably centres on relationships and the process of interaction within them. This is the case whether or not that centrality is recognised by those involved. Further, if management is concerned with change and development then it is concerned with changing and developing the substance of business relationships. We refer to these attempts as *business networking*, for which we can use the following definition:

Business networking is the conscious[3] problem-driven attempts of one or more business actors to change or develop some aspect(s) of the substance of interaction in relationships in which they and others are involved.

6. Business networking and the substance of interaction

Business networking is more than a series of isolated attempts to address specific problems, each initiated by a single actor. Instead, each episode of networking forms part of a sequence of actions, reactions and re-reactions by all involved actors as they initiate and develop their own networking and respond to that of their counterparts. In this way, business networking is the process through which all actors attempt to influence the evolving substance of their interactions.

Fig. 1 presents a structure for this substance for a single dyadic relationship at a particular point in network time. At this time, the substance of the relationship can be expressed in terms of the activities, resources and the actors involved in the relationship: Firstly, *interdependencies* may have developed between some of the activities of the two counterparts, as would be the case with integrated production or logistics systems. Secondly, an interacted view of the business landscape infers that the value and usefulness of business resources are *heterogeneous*, depending on how they are combined between companies. Thus, heterogeneity is a measure of the extent to which the

[3] We distinguish between the *conscious* attempts to change the structure or process of interaction and the unplanned outcomes that inevitably occur through interaction.

	AT A POINT IN NETWORK SPACE AND TIME	OVER TIME
ACTIVITIES	Interdependency	Specialisation
RESOURCES	Heterogeneity	Path
ACTORS	Jointness	Co-evolution

Fig. 1. The substance of business interaction in network space and time.

resources of the two companies have been adapted or developed through interaction. Thirdly, *jointness* is a measure of the extent to which the two actors in a relationship do things together, for example, joint product or service development, joint price fixing or joint marketing to third parties.

The substance of all business relationships evolves as a result of the unintended effects of the interactions of those directly or indirectly involved *and because of their conscious networking*. Fig. 1 includes terms to describe this evolution: Firstly, the initial interdependencies between activities may evolve into increasing or decreasing *specialisation*. Secondly, the resources of the counterpart companies of the involved activities will follow a particular developmental *path*. Thirdly, the involved actors will *co-evolve* as they interact with each other. Co-evolution does not mean that the actors will necessarily become more similar to each other over time. Instead, co-evolution means that they are likely to adjust their ways of thinking, their organisational structure, their expectations and aspirations to accommodate the evolving characteristics of their relationships and their counterparts. Networking contributes to this evolution of the substance of a relationship over time. But no business relationship exists or evolves in isolation from others and the substance of each relationship forms part of a wider pattern of activities, constellation of resources and web of actors (Håkansson & Snehota, 1995).

7. Business networking in context

Business networking takes place under the logic of business relationships as we have outlined, but it also develops within the wider and rather paradoxical context of the business network (Håkansson & Ford, 2002), as follows:

The first network paradox: an actor's relationships both enable and constrain its networking: Any attempt by an actor to achieve change within a relationship depends on the resources, activities and attitudes of its counterpart. Thus, business networking within relationship involves choices about which aspects of the relationship it is feasible to *confront* at a particular point in time and for which it is necessary to *conform* to the status quo.

The second network paradox: the characteristics of actors' relationships may be interpreted as the outcomes of their networking but the characteristics of actors are also outcomes of their relationships: An actor's networking takes place within a context determined by its previous networking and that of others which take place around it. Business networking involves an actor in choices about when to *consolidate* within its existing pattern of relationships, derived through its previous interactions and when to attempt to *create* a modified relationship pattern. But, building new relationships is difficult and resource intensive and the ability of an actor to create a modified relationship pattern will be constrained by the interdependencies developed in its previous interactions.

The third network paradox: actors try to achieve control over the network that surrounds them, but no actor alone has the knowledge or resources to exercise complete control: thus, business networking is based on the limited knowledge and experience of each actor, operating within its own small world. All networking involves choices between when and in which aspects of structure or process to attempt to *coerce* a counterpart in a particular direction of interaction and when to *concede* to the knowledge or initiative of that counterpart.

8. Analysing business networking

Business networking intervenes in the continuing and complex interactions that take place between a shifting combination of actors within multiple relationships and their associated interdependencies. Each episode of networking builds on previous interactions and so there can be no neat starting point from which to examine it. Similarly, each episode forms the basis for future interactions and so no absolute or 'final' effects of particular networking can be determined. Additionally, business networking has intended and unintended effects on multiple levels based on the initiatives and responses of multiple actors. All business networking occurs on the basis of the networking actor's idiosyncratic view of its position at a specific point in network space and time within an existing structure of relationships and interdependencies. We refer to this view as the actor's network picture. The network pictures of some actors are expressed in terms of a stereotypical view of the network as that actor's 'supply-chain', 'distribution channel' or 'industry'(Henneberg, Mouzas, & Naudé, 2006, Henneberg et al., 2010; Mouzas, Naudé, & Henneberg, 2008; Ramos & Ford, 2009). Others may take a static view of the network (Oberg, Henneberg, & Mouzas, 2007) or see it as an evolutionary process, while others may picture the network as a place in which all actors do or should interact according to some accepted conventions, norms or 'constitution' (Mouzas & Ford, 2009). All networking takes place on the basis of an actor's view of its own position and that of others within this picture and all networking is intended to change some aspect of those positions and the structure or process that surrounds it.

We can now incorporate ideas on the context of business networking, the logic of business relationships and the substance of interaction into a framework for analysing business networking using the diagram in Fig. 2. This framework consists of three interconnected levels of analysis:

The level of the relationship: Our first level of analysis is of an actor's networking within a single direct relationship. An actor's relationships will vary widely in their importance to it, but each

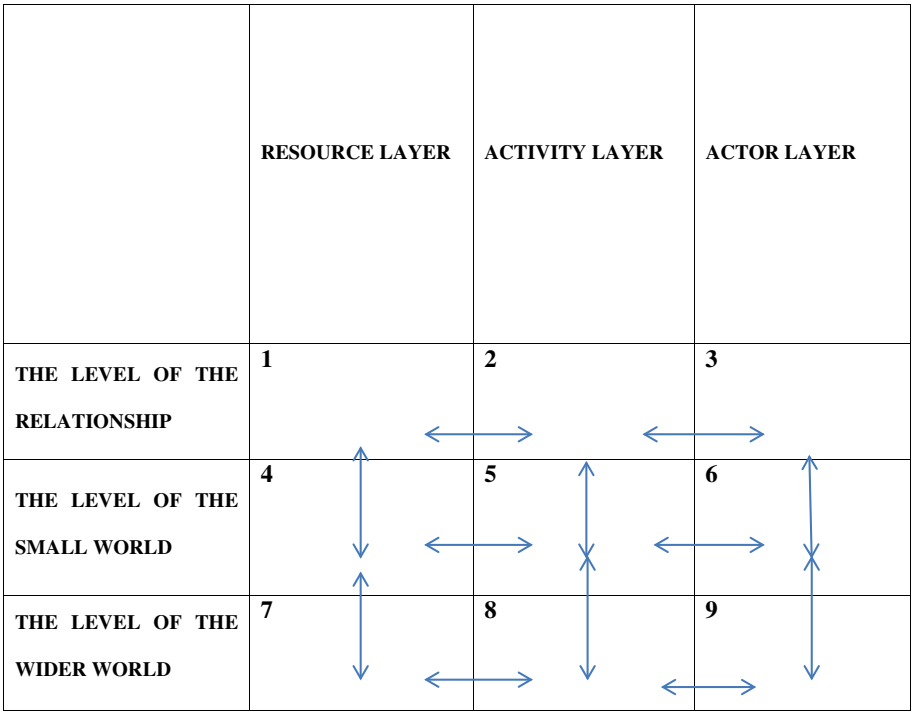


Fig. 2. A framework for analysing business networking.

actor is likely to have a relatively small number of relationships on which it depends heavily and which are an important focus for its networking. Each of an actor's relationships will be characterised by a unique combination of activity interdependence, resource heterogeneity and actor jointness; and each will have a unique history of interaction. Hence, the meaning and effects of business networking will be unique to the particular relationship in which it is carried out. Thus, a defining characteristic of business networks is that a similar approach to networking in a number of relationships will produce unique effects in each.

The level of the small world: The second level of analysis is within the directly or indirectly connected relationships which are known and recognised by the actor. This is the actor's 'small world' (Håkansson et al., 2009). An actor's small world is circumscribed by the number of available counterparts; customers, suppliers or development partners etc. All actors are directly connected with the activities and resources of others within this small world and are involved in unique but connected interactions on a continuing basis. All actors are interdependent with other actors in their small world and networking within a single relationship will affect and be affected by simultaneous or sequential networking in others. The substance of each actor's relationships forms part of the activity pattern, resource constellation and web of actors within that small world.

The level of the wider world: The third level of analysis of business networking is within the network beyond the actor's small world. A business actor knows much less of what happens in this 'wider world', but is indirectly affected and may affect the resources and activities of a web of actors each of which exists within other 'small worlds', that are often geographically, culturally or technologically distant from it.[4] The early researchers in business and marketing to which we have referred were all concerned with how companies could seek to develop relationships with customers outside their small world by developing effective relationships with intermediaries.

All actors network: all try to affect their position within single relationships and within their small world. All actors have some effect on the wider world. In many cases this wider effect is minimal but some are able to achieve revolutionary change, always indirectly and often in directions that are unintended. All networking has its effects within relationships. All actors are subject to the networking of others: from within each of their relationships, within their small world and from the wider world. All actors have to balance their own attempts to network and change the structure and process of their interactions with their responses to the networking of others.

Business networking may be directed towards achieving change in the evolution of any one of the three layers that comprise the substance of a relationship. But as the arrows in Fig. 2 show, each layer is inter-related and change in any one layer may affect the others, often in unintended ways. Finally, Fig. 2 also shows arrows between the different levels of analysis, indicating that networking in a single relationship always affects the structure and process of interaction in an actor's small world. Similarly, these changes in a particular actor's small world may affect and be affected by networking in the wider world.

9. Business networking in practice

We will now examine the process and effects of business networking in practice by using the structure presented in Fig. 2 to interpret the case of a common business situation leading to an apparently conventional new product introduction.

9.1. Proctor and Gamble in a small world in Germany

Procter & Gamble (P&G) is an important actor in a small world of retailers, manufacturers and consumers of laundry products in Germany. But during the 1990s P&G faced the problem of an absolute and relative

[4] Of course there is no fixed boundary to this wider world or to the network as a whole. Each actor will have a unique "network picture" based on its own knowledge and experience and that of its counterparts in its own small world.

decline in its sales of clothes-washing powders when compared with its main competitor Henkel. P&G believed that its problem had arisen because it did not have superior products that would be able to generate strong consumer interest and retailer support in that small world.

A conventional interpretation of P&G's situation would suggest that the company's problem arose because of inadequacies in its 'marketing mix' and suggest that this needed to be changed to compete more effectively for consumer sales (Dolan, 1991). However, in practice, P&G's approach to its problem built on its relationships with a small number of counterparts and this approach was simultaneously channelled and constrained by those relationships and the problems and resources of those counterparts (in line with the First Network Paradox). P&G's approach formed part of a sequence of networking in a number of relationships by a range of actors, each with their own problems. This networking formed part of the evolving redefinition of P&G (Paradox Two) as an actor, of the small world in which it operated and the wider world beyond it. Neither P&G nor any of its counterparts controlled this process, although all tried to influence its direction. Nor did the process follow the strategy of any single actor. Instead, the process comprised interconnected episodes in which different combinations of actors coerced or conceded to others on the basis of their respective expertise, resources and wider influence (Paradox Three).

9.1.1. P&G's initial networking at the relationship level

P&G sought to confront their problem at the relationship level with a single counterpart, major retailer Tengelmann. This relationship was long established, with assigned actors on each side, interdependence between the production and logistics activities of the two companies, but relatively little in the way of relationship specific resource investment. P&G's initial networking was a proposal at their annual trade negotiations that it should enhance the resources in their relationship by offering environmentally friendly products to consumers (Cell 1). Tengelmann reacted positively to this proposal as it had faced the problem of meeting the requirements of environmentally conscious consumers since the late 1980s at which time it had exercised enormous pressure in its relationships with detergent manufacturers for them to produce phosphate-free detergents.[5]

9.1.2. P&G's subsequent networking in its small world

Networking within a single relationship may be designed only to produce efficiency effects for one or other of the counterparts within that relationship. But these efficiency effects are also likely to impact on the actors' other relationships. More commonly however, business networking within one relationship is directly intended to affect connected relationships of the actors elsewhere in their small world. In this case, both P&G and Tengelmann wished to affect their common relationships with the end-consumers of their products.

But in order for networking within one relationship to achieve change in a second relationship, actors often have to exploit their interdependencies with other actors in their small worlds. In this case, in order to achieve the common aims of the P&G/Tengelmann relationship, P&G had to network in three of its other relationships. Firstly, P&G approached GfK-Market Research and ACNielsen, two leading market research organizations with which it had well-established relationships in order to check the attractiveness of the environmental variable. This additional activity within these relationships confirmed that environmentally conscious consumers were ready to pay higher prices for offerings that offered tangible initiatives and solutions for environmental problems.

The third episode of networking for P&G involved its relationship with its parent company in Cincinnati, USA. P&G asked its parent to commit resources to developing the product and processes required for environmental products. All three networking initiatives at the level of the small world were productive. Two months after the launch of P&G environment-friendly products within Tengelmann, the first Nielsen report on consumer off-takes indicated a growing consumer demand.

P&G then decided to capitalise on this positive momentum in its networking in its other retailer relationships. It used the available consumer data as evidence to secure the addition of its environmental brands to the resource structure of all these relationships. In this case, there is no evidence that P&G's networking elsewhere in its small world led to any counter-move from Tengelmann or adversely affected their relationship.

9.1.3. Networking by other actors in P&G's small world

Consumer off-take data were also instantly available to all other companies with relationships to Nielsen that operated in P&G's small world, including key competitors such as manufacturers Henkel and Unilever. Henkel's managers felt that they couldn't risk losing their strong position in their relationships with end-consumers. Despite the recognition that there was a need for real innovation, Henkel also felt that it needed to respond quickly by proposing aggressive 'me-too' product introductions in their relationships with retailers.

The result of this networking was that an increasing number of product variations pushed appeared on retailers' shelves. These new environment-friendly detergents caused anxiety in retailer Aldi's management. It became apparent to Aldi that if it wanted to succeed in the laundry and cleaning product category, then it would need to work closely with a manufacturer that would provide it with competitive private labels incorporating the latest technology.

P&G would have been an ideal counterpart for Aldi. However, P&G did not produce private labels as a matter of principle and, therefore, Aldi had never listed P&G's products in its retail outlets. On this basis it was impossible for the two counterparts to work together. In contrast, Henkel's networking in the past had used private labels as a 'Trojan Horse' to build business with key retail counterparts. But Aldi excluded full-price manufacturer brands in order to promote its strong private labels. For this reason, Henkel felt that Aldi's policy was to turn manufacturers into mere production subcontractors of their retail operation. Hence this relationship had failed to develop. Meanwhile Unilever, despite its leading position in many consumer product categories, had only a minor share of the market in the laundry and cleaning category. Its networking to address this issue led to the production of private labels for Aldi as a way of building up a substantial volume base.

9.1.4. Networking in the wider world

What was happening in the small world surrounding laundry and cleaning products was inextricably linked with environmental legislation and networking by other actors at the level of the wider world. For example, the German government's Waste Packaging Regulations made manufacturers and retailers equally responsible for protecting the environment. This networking by government across the wider world had immediate effects in the relationships between manufacturers, retailers and consumers who were able to return all used packaging materials to the retailers. This change in the activity structure in the retailer/consumer relationships led to intensive networking in the manufacturer/retailer relationship. Responsibility for disposing of packaging materials increased costs for retailers who tried to pass on these extra costs to manufacturers. The government's networking eventually led to major changes in the resource structure and activity pattern in these relationships.

Manufacturers were by now investing a great deal in advertising for both old and new environmentally-friendly brands and retailers were coerced by the manufacturers to list all of them. The intensified launches and re-launches led to overcrowded shelves for detergents and produced caused considerable conflict between the retailers' purchasing departments and the manufacturers' sales functions. This situation made the need for transparency and rationalization within existing categories clearly evident.

[5] Elsewhere we have used this case to discuss the reciprocal attempts to address the problems of counterparts as "interacted service" (Ford & Mouzas, 2013).

Consequently, manufacturer P&G initiated networking to develop category management in its relationship with Tengelmann who also conducted a series of pilot projects which were then extended more widely. The objective of these extensions was to reduce the problem of overcrowded shelves and frequent friction between the retailers' purchasing and sales. This networking led to the creation of a new department in Tengelmann that integrated sales and purchasing and which was based on the principle of category management, radically changing the actor bonds between the two companies. Within two years, P&G's relationships with other retailers included new elements such as: exclusivity of services, co-operation with retailers' sales managers, development of shopper insight (an intelligence service that examined consumer behaviour at the point of sale) and customer profitability analysis.

10. Conclusions

The aim of this paper has been to develop a structure for the analysis of business networking by building on some of the research of the IMP Group and its precursors. The term business networking is not simply an alternative label for the management processes in supplier and customer companies in business markets. Instead, the idea of business networking is to encapsulate at least some of the complex empirical reality and the choices that companies face in an interacted business landscape. We now conclude the paper by drawing some conclusions about the practice of business networking in that reality as follows:

General problems and specific approaches in business networking: Business problems are often expressed in general terms, such as declining sales or profits, increases in costs or product inadequacies. But the small worlds of many businesses are dominated by a few major relationships with developed interdependencies with available counterparts. For these actors, business is a small-numbers game. Supposedly general business problems often arise from and certainly manifest themselves uniquely in specific relationships and hence require specific networking. Additionally, an actor's approach to a business problem is likely to involve it in unique networking within a number of major relationships often intended to effect change in others. The connection between a general problem and specific networking was illustrated in the P&G case, in which the company networked in its relationship with Tengelmann to confront a general issue involving its products. Within that relationship, P&G confronted this problem but continued to conform to other current aspects of their relationship. The change in resources that P&G achieved in this relationship was intended to achieve second-order effects in both corporate and consumer relationships. These effects required further networking by P&G in three other relationships and subsequently led to important networking by Tengelmann.

Successful networking by the actors in any one relationship depends on their effective networking in other relationships.

Diversity in networking: Even the simple case presented in this paper illustrates the diversity of networking by actors that may superficially be labelled 'manufacturers' or 'retailers' or that may appear to operate in similar situations or face similar problems. Each business actor occupies a unique position in network time and space that is the outcome of its own resources and activities and its current and previous interactions with others. Each business actor networks on the basis of its unique network picture and unique view of its counterparts, even if those counterparts appear to offer similar products or have similar requirements.

The concept of the market provides for convenient but deceptive generalisations about the behaviour of apparently independent actors within it. In contrast, IMP research suggests that, empirically, the business landscape has a network-like form. A business network is not a market. A business network is an arena in which interdependent actors relate to each other in unique ways and a business network accommodates a wide diversity of practice and structure within and between actors. Any attempt to understand this interacted landscape has to allow for its diversity and any attempt to operate within it has to accommodate and capitalise on its diversity.

Networking in multiple relationships: Business marketing is conventionally viewed as the development of a more or less standardised approach towards a generalised market. But all business actors face unique problems, exist in a unique network position and exhibit different interdependencies in each of their relationships.

Consequently, the greater the standardisation within an actor's networking in different relationships, the greater the chance of that networking being inappropriate in some or all of them. However, relationship-specific investments and adaptations are costly and a major issue in business networking is to balance the costs and benefits of different levels of standardisation. More generally, the issue of the costs and benefits of standardisation emphasises that management in the interacted business landscape is concerned with the development of business relationships as prime assets, rather than the optimisation of particular networking episodes.

Sequential and interconnected networking: P&G's initial networking led to a series of connected networking by actors in P&G's small world and the wider world. The networking that addressed the resource layer in the P&G/Tengelmann relationship subsequently led to changes to the activities and actor layers in that relationship (Cells 2–3) and in multiple relationships in its small world (Cells 4–6). Much of the networking in the case appears to be common and many of its effects appear to be global. But all the networking was specific to the actors' positions in time and space in which it occurred and all effects were unique to specific relationships. All business networking is reactive to the networking that has gone before. Sequential business networking by counterparts contributes to the evolution of specialisation in each relationship's activity layer, path of resources and co-evolution of actors. However, this evolution does not inevitably lead to greater closeness in a relationship and there is no inevitable progression towards some idealised 'partnership'.

Successful networking depends on an awareness of the shifting positions in network time and space of participating actors, an awareness of the respective network pictures of counterparts, a clear view of the alternatives for all actors and a realistic time horizon.

Limits to design and control in business networking: The sequence of networking and its effects that we described in the P&G case was neither designed nor controlled by P&G or any other actor in its small world or the wider world. P&G both initiated networking and responded to the networking of others. As the Third Network Paradox suggests, all business actors are likely to wish to control their interactions with others, but no business actor has the resources, skills or knowledge to do this completely.

The 'unknown-ability' of networking outcomes and the limitations on all actors' knowledge and resources means that skills in networking are likely to be built as much on scanning, flexibility, adaptation and learning from and following others as they are on individual strategies or long-term planning.

Networking in connected small worlds: All business actors interact within their own small world. But all are affected by networking

that occurs outside of their small world and all seek to network in that wider world. This wider networking is indirect and is based on an actor's relationship with intermediaries whose own small world only partially overlaps that of the actor's. But all actors are intermediaries and each provides the opportunity for indirect networking for others. Reciprocal indirect networking is commonly observed in the case of 'supplier's suppliers' and its 'customer's customers'.

Business networking is often indirect and enables an actor to exploit the experience, resources and activities of actors outside its own small world. Indirect networking is often more productive and cost effective than attempting to internalise wider knowledge or build a more extensive set of direct relationships.

Finally:

Networking in the wider world: It may appear that in the business network there is a wider world that provides the 'battlefield for the mighty' and is far removed from the experience of most business actors. But despite the pretentions of some of those involved, the wider world is simply composed of multiple small worlds inhabited by even the biggest or most prominent actors. All of these actors have similarly limited numbers of direct relationships and restricted horizons to those of all others. All of these actors have inadequate network pictures and their networking can produce negative as well as positive effects for themselves and for others in their direct and indirect relationships. The P&G case illustrates the range of effects of the networking by the German government to alter the legal basis on which waste packaging was handled. A similar recent example of the wide effects of networking on the resource structure across the network occurred when European governments proposed the inclusion of the aviation industry within the European Emissions Trading Scheme as of 2012 or when the Chinese authorities restricted the production of widely used rare-earth metals.

Not all 'wide world networking' affects the resource layer (Cell 7). The Norwegian and Icelandic governments networked quite differently to affect the activity and actor layers in the relationships between the owners of fishing fleets and fish processors. The Norwegian government disallowed merges between the two types of actors and required them to engage in an auction market for fish. In contrast, the Icelandic government allowed such mergers and these integrated actors have been able to develop more substantial relationships with secondary processors and fish retailers.

Some of the networking in particular small worlds that make up the wider world affect us all in our daily lives. This is seen in the networking of mobile Apple, Nokia, Sony and others to determine which operating systems will be used by other actors in smart phones, games controls and tablets by which we all interact.

A research challenge: The theory development that has taken an interactive view of business has emphasised the systematic, evolutionary, long term adaptations and investments that form the basis of each unique inter-company relationship:

"It is through interaction that the benefits of these resources and activities flow between and into the companies in the network. Being a ubiquitous process interaction also forms a working structure for the network and provides an element of stability to how companies relate to each other in the network" (Håkansson et al., 2010, p.28).

This emphasis on specificity, continuity and stability contrasts with the traditional orientation of research in business marketing which has been towards individual transactions and generalised approaches to markets. The concept of business networking is firmly within the view of business as a network of unique and evolving business relationships. But the concept focuses attention on the attempts of business actors to change both the structure and process of those relationships.

We already have a number of empirical studies of particular episodes of business networking and of the connections between them (e.g. Baraldi & Strömsten, 2006, 2009; Baraldi & Waluszeski, 2007; Håkansson & Waluszeski, 2002; Håkansson et al., 2010); while Ritter (1999) provided an early attempt to assess the networking competence of actors. But the practice of business networking remains a relatively un-explored area. Among the many areas of research that await development are into the ways that networking is interpreted by the initiator and the responder, the effects of dyadic networking across an actor's small and wider world, the sequencing of networking between actors over time and its effects, the abilities of actors to plan for or anticipate their own or their counterparts' networking, the diversity of networking practice within a particular small world,[6] the process of trading off short and long-term costs and benefits within dyads and across a small world, the thresholds of actors acceptability of costs and benefits before specific networking is initiated (Backhaus & Buschken, 1999).

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[6] An interesting and important current example of this diversity is that between Intel and ARM in the area of computer chips.

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